Transforming Risk Management at CIBC

Exploring Alternative Risk Solutions – A Captive Insurance Approach in the Cayman Islands

Presented by
Team 7
Mohammad Valizadehmoghadam, Hossein Rajabi, Jason Qiu

RISC - Risk and Insurance Studies Centre

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1 Executive Summary

This white paper evaluates the strategic feasibility of establishing a captive insurance subsidiary for the Canadian Imperial Bank of Commerce (CIBC) in the Cayman Islands.[1] Amidst increasing operational risks[2] and volatile insurance market conditions,[3] captive insurance emerges as a compelling alternative risk solution.[4] Our analysis suggests that a well-structured Cayman captive can provide CIBC with tangible benefits, including reduced overall insurance costs,[5] greater control over risk management,[6] customized coverage for complex exposures like cyber risk,[7] and potential long-term capital efficiency.[8]

The Cayman Islands offer a stable and internationally respected regulatory framework under the Cayman Islands Monetary Authority (CIMA),[9] coupled with tax neutrality and significant expertise in captive management.[10] Initial setup costs are estimated at approximately USD $155k (detailed in Section 6), with ongoing annual operating costs starting around USD $165k and adjusted for inflation. These exclude the substantial solvency capital required beyond the minimum regulatory threshold[11]. These operational costs appear justifiable when compared to potential multimillion dollar savings from premium retention and avoided insurer markups,[12] especially for a large institution like CIBC.[13]

Crucially, the captive must operate in compliance with Canadian regulations, notably guidelines from the Office of the Superintendent of Financial Institutions (OSFI) regarding related-party transactions and capital adequacy.[14] While direct regulatory capital relief (e.g., Common Equity Tier 1 (CET1) ratio improvement through reduced Risk-Weighted Assets (RWA)) via captive insurance faces hurdles, particularly the standard deduction of the captive investment from CET1 capital, potential benefits exist.[15] If structured appropriately with genuine risk transfer (e.g., via third-party reinsurance or collateralization), a captive might help optimize RWA under specific Basel rules.[16] More reliably, indirect benefits through enhanced risk management practices, profit retention,[17] and potentially smoother earnings profiles are significant.[18] We recommend CIBC initiate a detailed feasibility study, engage proactively with OSFI and CIMA, and adopt a phased implementation approach, prioritizing risks where the value proposition is strongest, such as cyber and property deductible layers.[19]

2 Introduction: The Strategic Case for Captives

Large financial institutions like CIBC navigate a complex web of risks, from credit and market risk to increasingly prominent operational risks like cybersecurity breaches, regulatory fines,

[1] PwC, 2024.
[2] Basel Committee on Banking Supervision, 2003.
[3] A.M. Best Company, 2024b.
[4] Aon, 2024.
[5] Milliman, 2023.
[6] Captive.com, 2024.
[7] Zurich North America, 2024.
[8] J. Chen and King, 2018.
[9] KPMG, 2021.
[10] PwC, 2024.
[11] Cayman Islands Monetary Authority, 2024a.
[12] Milliman, 2023.
[13] CIBC, 2024.
[14] Basel Committee on Banking Supervision (BCBS), 2010; Office of the Superintendent of Financial Institutions (OSFI), 2023.
[15] Basel Committee on Banking Supervision (BCBS), 2010.
[16] Basel Committee on Banking Supervision (BCBS), 2010.
[17] Scarcella, 2014.
[18] J. Chen and King, 2018.
[19] Zurich North America, 2024.

and technological failures.[20] Managing these risks effectively while optimizing costs is a key strategic priority for the institution.[21] The traditional insurance market, while vital, faces challenges: premiums can be volatile reflecting market cycles,[22] coverage for emerging risks such as sophisticated cyber attacks may be limited or prohibitively costly, and large deductibles often mean significant operational risk exposure remains on the bank's balance sheet.[23]

This environment drives the exploration of alternative risk transfer (ART) mechanisms, with captive insurance being a prominent solution adopted by many large corporations and financial institutions.[24] A captive insurer allows an organization to formalize its self-insurance strategy,[25] creating an internal entity to fund and manage its own risks.[26] This paper assesses the viability of CIBC establishing such a captive in the Cayman Islands, considering the operational, financial, regulatory, and strategic dimensions inherent in such a venture. The Cayman Islands have demonstrated consistent growth and stability as a leading captive domicile, as illustrated by recent market trends (Figure 1).

Captives	International insurance companies
Number growth: **+24**	Number growth: **+44**
Premium growth: **+$6.3bn**	Premium growth: **+$19.0bn**
Assets growth: **+$17.1bn**	Assets growth: **+$83.3bn**

Figure 1: Cayman Captive Market Growth Snapshot (2020-Q3 2024)

Source: Captive Review (2024)

3 Understanding Captive Insurance

A captive insurer is a licensed insurance company owned and controlled by the organization(s) it insures (its "parent").[27] It functions like a commercial insurer but its primary purpose is to serve the risk management needs of its parent company, rather than seeking third-party business.[28]

3.1 Core Mechanics

- **Risk Retention Formalized:** Instead of simply absorbing losses through high deductibles or self-insured retentions (SIRs),[29] the parent pays actuarially determined premiums to its captive subsidiary.[30]
- **Internal Fund Accumulation:** These premiums create a dedicated pool of funds within the captive entity, segregated to pay for future losses covered by the captive's policies.[31]

[20]Zurich North America, 2024.
[21]CIBC, 2024.
[22]A.M. Best Company, 2024b.
[23]Basel Committee on Banking Supervision, 2003.
[24]Aon, 2024; Zurich North America, 2024.
[25]Wikipedia contributors, 2024.
[26]Captive.com, 2024.
[27]KPMG, 2021.
[28]Captive.com, 2024.
[29]Wikipedia contributors, 2024.
[30]iEduNote, 2023.
[31]Scarcella, 2014.

- **Profit Center Potential:** If actual losses incurred are lower than the premiums collected (minus operating expenses and any reinsurance costs), the captive generates underwriting profit. This profit, along with investment income earned on the captive's reserves, is retained within the parent group, rather than flowing to external insurers.[32]
- **Direct Reinsurance Access:** Captives can access global reinsurance markets directly to protect against catastrophic losses exceeding their retention level, often securing more favorable terms and broader coverage than might be available through the parent's primary insurance program.[33]

3.2 Captive Types

The simplest and most common type for a single large parent like CIBC is a Pure Captive (or Single-Parent Captive), which insures only the risks of its parent company and its affiliated entities.[34] Cayman Islands legislation also supports other structures like Segregated Portfolio Companies (SPCs), which allow for the legal ring-fencing of assets and liabilities for different risk programs or 'cells' within a single licensed entity, offering flexibility for managing diverse risk types or potentially accommodating third-party business in the future (though less common for pure captives initially).[35]

3.3 Comparison: Captive vs. Traditional Insurance

The strategic choice between traditional insurance and a captive involves weighing various factors, summarized below (Table 1).

4 The Cayman Islands Advantage

Choosing the right domicile is critical for a captive's operational efficiency and regulatory standing.[44] The Cayman Islands consistently ranks as a top global domicile for captive insurance, particularly favoured by North American parent companies.[45]

4.1 Key Regulatory Features (CIMA)

- **Appropriate Regulation:** The Cayman Islands Monetary Authority (CIMA) is an experienced regulator known for a proportionate, risk-based approach to supervision.[46] Class B licenses are specifically designed for captives insuring the risks of their parent and/or affiliated companies.[47] Within Class B, subclass B(i) is intended for captives writing at least 95% related party business and features the lowest minimum capital requirement (USD $100,000 MCR for general business).[48] CIMA has established clear application and reporting processes, including the secure Regulatory Enhanced Electronic Forms Submission (REEFS) portal for filings, ensuring alignment with international compliance standards set by bodies like the Financial Action Task Force (FATF) and the Organisation for Economic Co-operation and Development (OECD).[49]

[32] Bertucelli, 2011; Milliman, 2023.
[33] KPMG, 2021; Liberty Mutual Canada, 2024.
[34] iEduNote, 2023.
[35] PwC, 2024.
[44] KPMG, 2021.
[45] Cayman Islands Monetary Authority, 2024b; PwC, 2024.
[46] KPMG, 2021.
[47] Cayman Islands Monetary Authority, 2024a.
[48] Cayman Islands Monetary Authority, 2024b.
[49] Cayman Islands Monetary Authority, 2024a; KPMG, 2021.

Table 1: Captive Insurance vs. Traditional Insurance

Feature	Traditional Insurance	Captive Insurance (Pure Captive)
Risk Transfer	Transfers risk entirely to a third-party insurer.	Formally retains risk within the parent group's subsidiary.
Cost Structure	Premiums include insurer's overhead, profit margin, acquisition costs, and risk load.[36]	Premiums primarily cover expected losses, captive operating costs, and potential reinsurance cost. Opportunity for profit retention.[37]
Coverage	Standardized market policies; coverage for emerging risks may be limited or costly.	Highly customizable policies tailored to parent's specific needs; can cover "uninsurable" risks.[38]
Control	Limited control over claims handling, policy terms, investment of premiums.	Full control over claims management, coverage design, investment strategy for captive assets.[39]
Cash Flow	Premiums flow out to the insurer.	Premiums stay within the group; investment income earned on captive assets.[40]
Price Stability	Subject to market cycles (hard/soft markets); potential for large premium increases.[41]	More stable pricing based on own loss experience; insulated from market volatility for retained layers.[42]
Capital / Setup	No direct capital outlay required from insured.	Requires initial capitalization and ongoing operational investment.[43]
Risk Management	Indirect incentive for loss control (via future premium impact).	Direct financial incentive; enhances risk awareness and data collection.

4.2 Economic Operational Benefits

- **Tax Neutrality:** The Cayman Islands impose no local corporate income tax, capital gains tax, or withholding taxes on insurance premiums or distributions, providing a highly efficient environment for captive operations.[50] Captives can, however, obtain a tax undertaking certificate guaranteeing this status for up to 30 years.[51]
- **Professional Infrastructure:** Cayman boasts a deep pool of specialized service providers, including captive managers, auditors (Big Four and others), actuaries, lawyers, and bankers experienced in supporting international insurance structures.[52]
- **Proximity & Language:** A favorable time zone aligned with North American business hours and English as the official language facilitate efficient communication and operations.[53]
- **Growth & Stability:** The Cayman Islands represent a mature and stable market, particularly attractive to financial services organizations establishing captives.[54]

Table 2: Summary of Key Cayman Regulatory Requirements for Class B(i) Captive

Requirement	Details
Primary Legislation	Insurance Act (as revised)[55]
Regulator	Cayman Islands Monetary Authority (CIMA)[56]
License Class	B(i) (assuming primarily parent/related risk)[57]
Application Fee	Approx. USD $10,366 (CI$8,500 @ 0.82 exchange rate)[58]
Annual Fee	Approx. USD $10,366 (CI$8,500 @ 0.82 exchange rate)[59]
Late Payment Penalty	One twelfth of the annual fee due for each month the payment remains outstanding[60]
Minimum Capital (MCR)	USD $100,000 (general business)[61]
Solvency Requirement	Prescribed Capital Requirement (PCR) often equals MCR for simple captives, but is risk-based[62]
Governance	Minimum of two directors generally required; CIMA Fit & Proper tests apply for directors/officers.[63] Need for local director often driven by economic substance requirements.
Reporting	Annual Audited Financial Statements (Cayman GAAP or IFRS), Annual Insurance Return (via REEFS portal), Actuarial Opinion on Reserves (may be required depending on business)[64]
Local Presence	Requirement for registered office; typically utilizes a licensed Insurance Manager for administration, compliance, and principal office functions.[65]
Economic Substance	Must demonstrate sufficient local core income-generating activities (CIGA) and management presence relative to income generated, relevant for tax transparency.[66]

[50] KPMG, 2021; PwC, 2024.
[51] Cayman Islands Monetary Authority, 2024a.
[52] PwC, 2024; RBC Royal Bank, 2024.
[53] KPMG, 2021.
[54] Captive Review, 2024; Cayman Islands Monetary Authority, 2024b.

5 Canadian Regulatory Interface (OSFI)

Establishing and operating a captive insurance entity involves navigating a comprehensive regulatory landscape. For CIBC, oversight is primarily led by the Office of the Superintendent of Financial Institutions (OSFI), guided by both the *Bank Act* and specific regulatory frameworks such as the *Capital Adequacy Requirements (CAR)*, Guideline B-3, and various governance and capital-related expectations. This section outlines the most relevant implications for the proposed offshore captive.

5.1 OSFI Approval, Related-Party Compliance, and Reinsurance Treatment

CIBC must obtain **regulatory approval** from OSFI prior to establishing an offshore captive. As the captive would be a wholly owned subsidiary, it would be treated as a **related party** under Sections 490–495 of the Bank Act, triggering rules around **disclosure**, approval, and **governance** for any transactions between CIBC and the captive. All intra-group risk transfer agreements (such as insurance policies issued by the captive) must comply with these requirements to avoid breaches of regulatory protocol or perceived conflicts of interest.

Additionally, if the captive reinsures Canadian risks, it will be treated as an **unregistered reinsurer** under *OSFI Guideline B-3* (Sound Reinsurance Practices). This requires CIBC to fully **collateralize reinsured exposures**, typically through letters of credit or trust accounts, to ensure adequate capital protection for the Canadian business. OSFI may also expect that such reinsurance be governed by arm's-length standards, with clear documentation and risk-transfer mechanisms.

5.2 Operational Risk Capital and Basel III Limitations

Under **Basel III** and OSFI-aligned frameworks, banks are allowed to recognize certain insurance contracts as **operational risk mitigation** tools—subject to specific criteria:[67]

- Non-cancellable for at least 12 months
- Provided by a highly rated (A- or better) insurer
- Clearly defined risk triggers and payout limits

This credit is capped at **20% of the total operational risk capital charge**. If CIBC structures its captive and reinsurance relationships accordingly, it may receive **limited regulatory capital relief** under this allowance. This reinforces the importance of embedding the captive within the broader Enterprise Risk Management (ERM) framework.

5.3 Consolidated Supervision and ICAAP Reporting

As part of OSFI's **consolidated supervision framework**, CIBC must incorporate the captive's:

- Risk exposures
- Financial performance
- Capital reserves
- Liquidity position

into its **consolidated ICAAP** (Internal Capital Adequacy Assessment Process). If the captive is relied upon for capital relief or risk absorption, these assumptions must be clearly supported through scenario analysis and stress testing.

[67] Basel Committee on Banking Supervision (BCBS), 2010.

5.4 Corporate Governance and OSFI's Board Guidelines

OSFI's **Corporate Governance Guideline** also applies to foreign subsidiaries. CIBC must demonstrate that the captive maintains:

- A **qualified board of directors**
- Clear **delegation of authority**
- Alignment with CIBC's **risk appetite framework**

While some governance functions may be outsourced to captive managers, ultimate accountability must remain with CIBC.

5.5 Cross-Border Considerations (U.S. and Other Jurisdictions)

Although the captive will be domiciled in the **Cayman Islands**, CIBC must consider cross-border regulatory exposure, particularly if **U.S.-based entities** are reinsured through the captive. In such cases, oversight may also involve:

- U.S. state insurance regulators
- Potential **Federal Reserve** review for risk-sharing arrangements involving U.S. affiliates

For a Canada-only captive, direct U.S. regulatory involvement is unlikely, but should still be monitored as part of legal and compliance due diligence.

5.6 Tax Treatment and FAPI Risk

Under Canadian tax law, the captive's income may be categorized as **Foreign Accrual Property Income (FAPI)** which is **taxable in Canada on an accrual basis**, unless:[68]

- The captive demonstrates **substantial operational activity**, and
- Can prove **genuine risk transfer** with economic substance.

Failure to meet these thresholds could reduce the financial attractiveness of the structure and impact consolidated profitability.[69]

6 Feasibility Analysis: Operational Risks, Costs & Performance

A key driver for considering a captive is its potential to manage operational risks more effectively and cost-efficiently compared to the traditional market.[70] Captives demonstrably achieve better financial performance on average, driven by lower operating expenses and the retention of underwriting profits, as shown in Figures 2 and 3.

[68] Dolson, 2022.
[69] Bunting et al., 2011.
[70] Milliman, 2023.

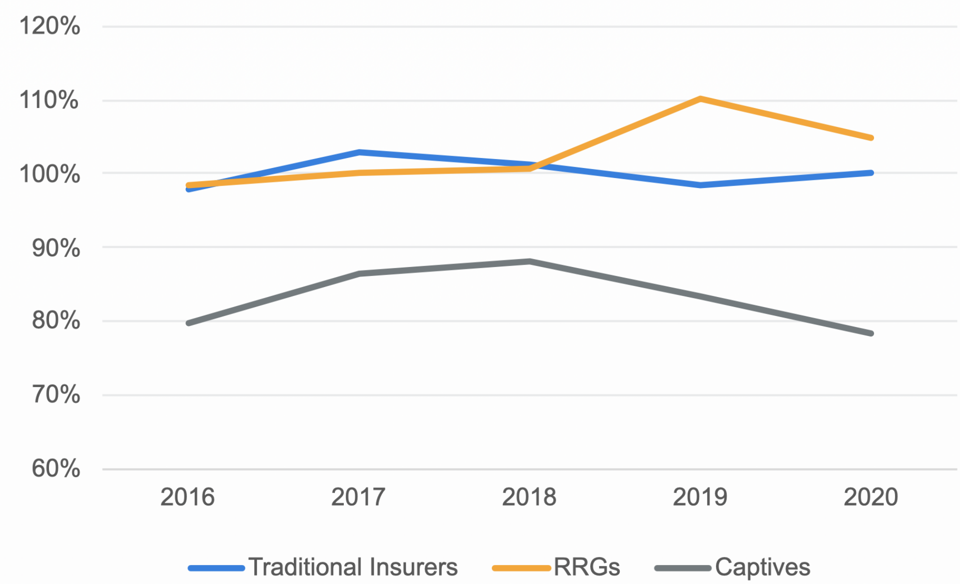

Figure 2: Comparative Combined Ratios (2016-2020)

Source: Milliman (2023). Lower ratios indicate higher profitability.

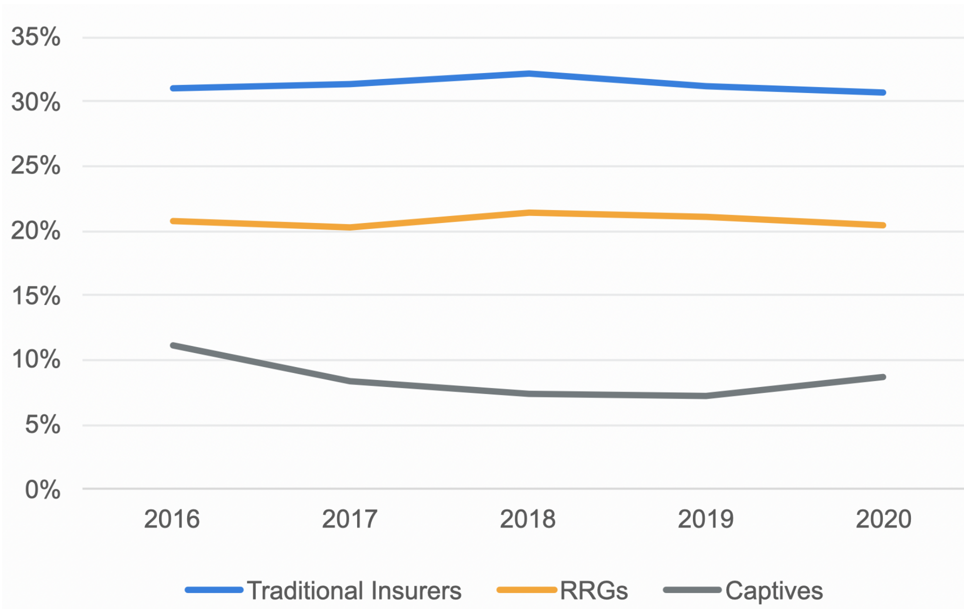

Figure 3: Comparative Underwriting Expense Ratios (2016-2020)

Source: Milliman (2023). Shows captives' lower overhead.

6.1 Targeting CIBC's Operational Risks

A captive insurance structure is particularly well-suited to cover CIBC's key operational risks, especially those layers where traditional insurance market capacity is expensive, carries large deductibles (SIRs), or offers inadequate coverage terms[71]. Based on common practices in the financial services sector,[72] potential areas for CIBC's captive include:

[71]Zurich North America, 2024.
[72]RBC Royal Bank, 2024; Zurich North America, 2024.

- **Cyber Insurance Layers:** Retaining a significant primary layer of cyber risk (e.g., the first $10 million to $25 million of loss per incident), thereby reducing reliance on the increasingly volatile and expensive commercial cyber insurance market for this high-frequency exposure.
- **Bankers Blanket Bond (BBB) / Crime Deductibles:** Funding the losses occurring below the attachment point of CIBC's main commercial BBB policy, which covers employee dishonesty, theft, and certain types of fraud.[73] Captives can formalize the financing of these expected, smaller, more frequent losses.
- **Professional Liability / Errors & Omissions (E&O) SIRs:** Covering the self-insured retention portion of claims related to alleged negligence or errors in providing financial services.[74]
- **Directors' & Officers' (D&O) Liability:** Potentially covering the Side A (non-indemnified personal liability) or Side B/C (corporate reimbursement) deductibles or primary layers, particularly if market pricing becomes prohibitive.[75]
- **Property Damage & Business Interruption Deductibles:** Covering the self-insured portion of physical damage to CIBC branches, data centers, or other critical infrastructure, and the resulting business interruption costs.[76]
- Potentially exploring coverage for other niche areas where commercial insurance is unavailable or impractical, such as certain types of non-physical business interruption or select compliance-related event costs (where insurable by law).[77]

6.2 Derivation of Estimated Costs and Capital

This subsection details the basis for the estimated cost and capital figures presented in the subsequent tables and throughout this paper. These figures are derived from a combination of Cayman Islands regulatory requirements, standard industry benchmarks for captive operations (adjusted for CIBC's scale), specific cost points provided, and assumptions reflecting the expected complexity for a major Canadian financial institution.

- **Setup Costs (USD $155,366):** This figure represents the specific projected costs for 2025 as detailed in Table 3. It includes components like the feasibility study, legal/incorporation fees, CIMA licensing, initial actuarial work, consulting, and governance setup. This is presented as an average estimate derived from potential ranges typically seen in feasibility studies, reflecting CIBC's needs.
- **Annual Operating Costs (Starting USD $165,366 in 2026):** This figure aggregates the projected annual running costs for the first year of operation (2026), as detailed in Table 4. Core components include: captive management fees, audit fees, annual actuarial reviews, ongoing legal/compliance, the CIMA annual fee, and board/operational costs. The subsequent years (2027-2030) show these costs adjusted for an assumed annual inflation rate of 2.5%.
- **Capital Requirements (Operational Capital $1M - $10M+):** While the CIMA Minimum Capital Requirement (MCR) for a Class B(i) is only $100k,[78] the actual 'oper-

[73] Zurich North America, 2024.
[74] Zurich North America, 2024.
[75] Aon, 2024.
[76] KPMG, 2021.
[77] Aon, 2024.
[78] Cayman Islands Monetary Authority, 2024a.

ational' or 'economic' capital needed is driven entirely by the risk profile underwritten.[79] This estimate assumes CIBC retains meaningful layers of risk (e.g., multi-million dollar limits for cyber or property). Captive best practice often involves holding capital equivalent to 2-3 times expected annual losses or based on modelled probable maximum losses (PMLs) for the retained layers, hence the $1M-$10M+ range, which requires detailed actuarial analysis in a full feasibility study.[80] This capital is separate from the setup and operating costs.

Table 3: Initial Setup Costs (2025)

Cost Breakdown	USD
Feasibility Study	$ 50,000
Legal & Incorporation Fees	$ 35,000
CIMA Licensing & Application Fees	$ 10,366
Initial Actuarial Work	$ 30,000
Consulting & Regulatory Advisory	$ 20,000
Board & Governance Setup	$ 10,000
Total Setup Cost	**$ 155,366**

Table 4: Ongoing Operational Costs (USD)

Cost Breakdown	2026	2027	2028	2029	2030
Captive Management	$ 75,000	$ 76,875	$ 78,797	$ 80,767	$ 82,786
Audit & Actuarial Services	$ 55,000	$ 56,375	$ 57,784	$ 59,229	$ 60,710
Legal & Compliance	$ 15,000	$ 15,375	$ 15,759	$ 16,153	$ 16,557
CIMA Annual Fee	$ 10,366	$ 10,625	$ 10,891	$ 11,163	$ 11,442
Board & Admin Costs	$ 10,000	$ 10,250	$ 10,506	$ 10,769	$ 11,038
Total Operating Cost	**$ 165,366**	**$ 169,500**	**$ 173,738**	**$ 178,081**	**$ 182,533**

Adjusted for inflation (2.5%)

6.3 Capital Optimization: CET1 Ratio and Risk-Weighted Asset Implications

While captive insurance entities are not explicitly designed to generate immediate capital relief under Basel III and OSFI guidelines, they can be strategically structured to **optimize CIBC's regulatory capital position over time**. This section explores how a captive can help **reduce Risk-Weighted Assets (RWA)** and **support growth in Common Equity Tier 1 (CET1)** which are critical under the Basel III framework for maintaining strong capital adequacy.

Reducing RWA Through Operational Risk Mitigation

Under the **Standardized Approach for Operational Risk (SA-OR)**, banks are required to hold capital against their operational risk exposures. Basel III allows institutions to recognize qualifying insurance coverage to mitigate operational risk capital charges, but this is **capped at 20%** of the total requirement[81].

[79]KPMG, 2021.
[80]Captive International, 2024a.
[81]Basel Committee on Banking Supervision (BCBS), 2010.

To qualify for this credit:

- The insurance must be **non-cancellable for at least one year**
- The insurer must be **highly rated (A- or better)**
- The policy must clearly define risk triggers, coverage terms, and limits

Although **captive insurance alone rarely meets these thresholds**, if CIBC's captive **uses third-party reinsurance from highly rated reinsurers**, it may be possible to structure certain layers of operational risk (e.g., cyber or BBB deductibles) in a way that partially qualifies for capital recognition under OSFI's capital adequacy rules[82]. Additionally, by retaining high-frequency, low-severity risks internally, the captive allows CIBC to **build predictable loss funding mechanisms**, which could justify **lower unexpected loss buffers** in internal RWA calculations.

Improving CET1 Ratio Through Retained Earnings and Earnings Stability

The CET1 ratio is calculated as:

$$\frac{\text{CET1 Capital}}{\text{Risk-Weighted Assets (RWA)}}$$

A captive can support both sides of the CET1 ratio equation:

- **Grow the numerator (CET1 Capital):**
  - By generating consistent underwriting profit and investment income, a well-performing captive contributes to retained earnings, which feed into CET1.
  - Profits retained within the captive entity, when consolidated into CIBC's group financials, can increase CET1 over time.
  - However, it's important to note that CIBC's initial investment in the captive—whether through equity or subordinated debt—will be subject to capital treatment under OSFI's Capital Adequacy Requirements (CAR). In most cases, these investments are either deducted from CET1 or assigned a high risk-weight (often 100% or more).
  - While this may reduce short-term capital efficiency benefits at the consolidated level, it is not inherently a negative outcome. Rather, it is a regulatory limitation that must be addressed through proper structuring, ongoing capital planning, and early engagement with OSFI.
- **Reduce the denominator (RWA):**
  - As discussed above, by qualifying for limited insurance mitigation credit under Basel III and stabilizing operational losses, a captive can lead to moderate but real reductions in RWA.
  - Even if OSFI initially applies conservative treatment to the captive investment, the long-term accumulation of profits, enhanced loss predictability, and internalization of operational risk can help improve CIBC's capital adequacy across multiple cycles. While the capital impact will not be immediate or automatic, proactive design and regulatory alignment can position the captive as a long-term strategic asset in CIBC's capital optimization framework.

To ensure the captive delivers on capital goals, the following design strategies are recommended:

[82] Office of the Superintendent of Financial Institutions (OSFI), 2023.

- **Third-party Reinsurance:** Structure excess layers with highly rated reinsurers to meet OSFI's risk transfer and creditworthiness expectations.
- **ERM Integration:** Embed the captive within CIBC's broader Enterprise Risk Management (ERM) framework to improve loss tracking, forecasting, and response.
- **Policy Structuring:** Develop policies with clearly defined terms, non-cancellation clauses, and multi-year coverage to strengthen the regulatory case for recognition.
- **Capital Modeling:** Conduct internal capital adequacy assessments (ICAAP) that demonstrate the captive's stabilizing effect on losses and volatility, potentially justifying lower internal capital buffers.

7 Strategic Considerations

Beyond the direct financial and operational aspects, establishing a captive holds several strategic implications for CIBC.

- **Competitor Alignment & Market Conditions:** The use of captive insurance is prevalent among major Canadian and global financial institutions (see Section 8). Operating without one could place CIBC at a potential disadvantage in terms of risk financing efficiency and cost management, especially within a Canadian Property Casualty market that AM Best describes as stable overall but facing ongoing challenges from catastrophe costs, inflation impacting claims severity, and reinsurance availability/pricing.[83] Effectively managing operational risk and optimizing capital remain key differentiators for banks.[84]
- **Market Cycle Management:** A captive provides crucial stability during "hard" insurance market cycles, where commercial insurers restrict capacity, narrow coverage terms, and increase premiums significantly.[85] By retaining predictable layers of risk internally, CIBC can maintain necessary coverage levels and avoid being forced into unfavorable market terms.[86]
- **ERM Integration:** To maximize value, the captive must be fully integrated into CIBC's overarching Enterprise Risk Management (ERM) framework. It should serve as a source of valuable, granular loss data that informs risk mitigation efforts across the organization, thereby enhancing overall risk awareness and accountability – elements strongly emphasized by regulators.[87]
- **Innovation Potential:** Once established, the captive can become a platform for innovation. Over time, it could be used to incubate coverage for emerging or "uninsurable" risks,[88] pilot new risk management initiatives tied to insurance, or leverage advanced data analytics and potentially AI for more sophisticated risk prediction, pricing, and capital allocation within its specific portfolio.[89]

[83] A.M. Best Company, 2024a, 2024b.
[84] Basel Committee on Banking Supervision (BCBS), 2010.
[85] KPMG, 2021; RBC Royal Bank, 2024.
[86] Aon, 2024.
[87] Basel Committee on Banking Supervision, 2003.
[88] RBC Royal Bank, 2024.
[89] Captive Insurance Times, 2024; Zurich North America, 2024.

8 Peer Comparison: RBC and Scotiabank Captive Insurance Strategies

As part of evaluating the feasibility of a captive insurance solution for CIBC, it is critical to benchmark against comparable financial institutions that have successfully implemented similar structures. Both Royal Bank of Canada (RBC) and Scotiabank offer valuable insights into best practices, challenges, and benefits associated with operating captive insurance subsidiaries. Through an analysis of their strategies, domiciles, risk coverage, and offered services, we can derive important strategic implications for CIBC's proposed captive insurance initiative.

8.1 Royal Bank of Canada (RBC) Captive Insurance Strategy

RBC has maintained a strong captive insurance presence, often utilizing domiciles like Barbados and the Cayman Islands.[90] Marketing materials suggest RBC leverages its captives to achieve common industry goals like reducing overall risk costs, potentially insuring risks unavailable in the conventional market, stabilizing premiums against market cycles, and improving risk management through direct retention.[91] Their literature also highlights benefits such as cash flow advantages through retained premiums and direct access to reinsurance markets.[92]

RBC explicitly offers supporting services for captives in the Caribbean, including letters of credit (meeting NAIC standards), investment solutions (like Guaranteed Return Term Deposits, dual currency deposits, sovereign bonds), day-to-day banking (current accounts, international payments), and foreign exchange services.[93] This indicates a deep familiarity and strategic alignment with the captive model, likely employing their own captives for similar operational efficiencies and risk financing for exposures such as creditor reinsurance, operational risk deductibles (e.g., BBB, E&O), and potentially cyber or D&O layers.[94] Alignment with ERM frameworks and regulatory compliance (both Canadian and offshore) would be inherent in their approach.

8.2 Scotiabank Captive Insurance Strategy

Scotiabank has a long-standing presence in the Cayman Islands since 1965, operating as Scotiabank Trust (Cayman) Ltd.[95] While their public information focuses on the full range of banking services offered (Retail, Small Business, Corporate, Commercial, Wealth), they specifically mention serving the Captive Insurance sector.[96] This strongly implies that Scotiabank, like RBC, understands and utilizes the Cayman Islands as a domicile for managing its own risks or facilitating captive operations for clients.

Given Cayman's prominence as a captive domicile[97] and Scotiabank's established infrastructure there, it's highly probable they employ a captive subsidiary to manage certain internal risks. The focus might include coverage for property, casualty, business interruption, or operational liabilities associated with their extensive international footprint, leveraging Cayman's regulatory framework and tax neutrality.[98] Similar to RBC, Scotiabank's captive would aim for cost efficiency through managing large deductibles, stabilizing expenditures, and potentially enhancing capital planning via retained earnings, while ensuring compliance with relevant capital

[90] RBC Royal Bank, 2024.
[91] RBC Royal Bank, 2024.
[92] RBC Royal Bank, 2024.
[93] RBC Royal Bank, 2024.
[94] RBC Royal Bank, 2024; Zurich North America, 2024.
[95] Scotiabank Cayman Islands, 2024.
[96] Scotiabank Cayman Islands, 2024.
[97] Cayman Islands Monetary Authority, 2024b.
[98] KPMG, 2021; Scotiabank Cayman Islands, 2024; Zurich North America, 2024.

standards and regulations.[99]

8.3 Strategic Insights for CIBC

Analyzing the approaches suggested by RBC's materials and inferred from Scotiabank's presence yields several strategic insights for CIBC:

1. **Standard Industry Practice:** Utilizing captives in favourable offshore jurisdictions like the Cayman Islands is a standard practice among major Canadian banks for risk financing efficiency and strategic risk management.[100]

2. **Focus on Core Benefits:** Both peers likely target key captive benefits: cost reduction (including friction costs from brokerage layers),[101] coverage for difficult risks,[102] premium stability,[103] direct reinsurance access,[104] and cash flow advantages.[105]

3. **Cayman as a Credible Domicile:** The presence and service offerings of both RBC and Scotiabank in Cayman underscore the jurisdiction's suitability and robustness for housing FI captives.[106]

4. **Leveraging Local Banking Infrastructure:** CIBC can utilize established banking services in Cayman (potentially from RBC, Scotiabank, or others) for captive operations, including holding collateral LOCs, managing investments, and handling operational banking needs.[107]

5. **Regulatory ERM Integration is Key:** Success hinges on navigating the dual regulatory landscape (OSFI/CIMA) effectively and integrating the captive fully within the bank's overall ERM strategy.

9 Implementation Roadmap Summary

A structured, phased approach is crucial for successfully establishing and integrating a captive insurance subsidiary.[108]

See Table 5 on page 17 for the detailed Phased Implementation Roadmap.

10 Recommendation: Detailed Feasibility Study

Based on the potential strategic benefits, alignment with peer practices, and the conducive regulatory environment in the Cayman Islands, we recommend that CIBC proceed with a formal, detailed feasibility study to definitively assess the value proposition of establishing a Cayman Islands captive insurance subsidiary. This framework outlines the key components and methodology for such a study.

[99] Milliman, 2023.
[100] RBC Royal Bank, 2024; Zurich North America, 2024.
[101] Milliman, 2023; RBC Royal Bank, 2024.
[102] RBC Royal Bank, 2024.
[103] RBC Royal Bank, 2024.
[104] RBC Royal Bank, 2024.
[105] RBC Royal Bank, 2024.
[106] RBC Royal Bank, 2024; Scotiabank Cayman Islands, 2024.
[107] RBC Royal Bank, 2024.
[108] KPMG, 2021.

Table 5: Phased Implementation Roadmap

Phase	Timeline	Key Activities
1: Feasibility & Planning	3-6 Months	Detailed internal loss data analysis, actuarial modeling of potential retained layers, selection and engagement of specialist consultants (captive manager, legal, tax),[109] development of detailed business plan, preliminary consultations with OSFI regarding structure and capital treatment, final executive go/no-go decision.
2: Regulatory & Formation	6-9 Months	Preparation and submission of formal license application to CIMA,[110] preparation and submission of any required notifications or approvals to OSFI, legal incorporation of the captive entity in Cayman, securing initial capitalization (MCR + operational capital), formal appointment of service providers (manager, auditor, legal counsel, potentially local directors).[111]
3: Operational Setup	3-6 Months	Drafting specific insurance policy wordings for initial risks, establishing IT systems for policy admin and claims, defining detailed claims handling procedures and authorities, finalizing investment policy statement and guidelines, negotiating and binding required reinsurance contracts, arranging necessary collateral (e.g., LOCs) if reinsuring Canadian risks.[112]
4: Launch	Year 1 Start	Issuance ('writing') of first captive insurance policies (recommend starting with a manageable scope), commencement of premium collection and claims payment processes, first full financial reporting cycle begins, establish board meeting cadence.
5: Optimization	Year 2+	Annual performance review against business plan objectives (loss ratio, expense ratio, investment return),[113] evaluation of potential expansion into new lines of coverage or adjustments to retention levels based on experience, integration of data analytics for enhanced risk insights,[114] continuous refinement of operational processes and governance.

10.1 Objectives of the Feasibility Study

The primary goals should be to:

- **Quantify Cost Savings:** Estimate CIBC's current total cost of risk (TCOR) for targeted lines and model the potential net savings achievable through a captive structure, considering premium differences, estimated operating costs (as detailed in Section 6), investment income, and frictional costs.[115]

- **Validate Risk Retention Appetite:** Identify specific operational and potentially other risk layers (e.g., cyber, property deductible, E&O SIRs) most suitable for captive retention, aligning with CIBC's risk tolerance and strategic priorities.[116]

- **Develop Robust Financial Modeling:** Produce detailed pro-forma financial statements for the proposed captive, incorporating the cost estimates from Section 6. This should include projections of premiums, losses, expenses, investment income, capital requirements (MCR and economic capital), and key performance indicators (KPIs) like combined ratio and ROE under various scenarios (base, adverse, favourable loss development).[117]

- **Confirm Regulatory Path:** Map out the precise application requirements and likely interactions with both CIMA[118] and OSFI, including expected capital treatment (CET1 deduction, potential RWA impacts), collateral needs, and compliance obligations.

- **Articulate Strategic Value:** Clearly evaluate and document the non-financial advantages, such as tailored coverage design,[119] enhanced control over claims,[120] improved risk data insights, and insulation from insurance market volatility.[121]

10.2 Methodology

The feasibility study should adopt a rigorous methodology, involving:

- **Comprehensive Data Collection:** Gather detailed information on CIBC's current insurance program structures (policy limits, deductibles, exclusions), historical premium expenditures, and granular loss data (frequency, severity, development patterns) for the past 5-10 years for all potential lines of coverage.

- **Actuarial Risk Analysis:** Employ appropriate actuarial techniques (e.g., exposure rating, loss rating, stochastic modeling) to assess the expected losses, volatility, and potential maximum losses for the risk layers proposed for captive retention.[122]

- **Market Benchmarking:** Obtain indicative quotes from captive managers,[123] auditors,[124] actuaries, and legal advisors in the Cayman Islands for setup and ongoing operational costs, refining the initial estimates presented in Section 6. Compare proposed reinsurance structures and pricing with current market benchmarks.

[115] Milliman, 2023; RBC Royal Bank, 2024.
[116] Zurich North America, 2024.
[117] Captive International, 2024a.
[118] Cayman Islands Monetary Authority, 2024a.
[119] RBC Royal Bank, 2024.
[120] Aon, 2024.
[121] RBC Royal Bank, 2024.
[122] KPMG, 2021.
[123] Marsh, 2024.
[124] PwC, 2024.

- **Extensive Stakeholder Engagement:** Conduct interviews and workshops internally within CIBC (Risk Management, Finance, Legal, Compliance, relevant Business Units) and externally with pre-qualified captive managers, legal/tax advisors specializing in Canadian FIs and Cayman structures, and preliminary, informal discussions with regulators (CIMA, OSFI) if deemed appropriate at this stage.[125]

- **Peer Analysis Refinement:** Deepen the benchmarking analysis by gathering more specific (where possible) information on the structures, scope, and reported benefits/challenges of captives operated by key Canadian and international peer banks (e.g., RBC, Scotiabank) through industry contacts, public disclosures, and consultant insights.[126]

10.3 Financial Modeling Scope and Qualitative Benefits

The feasibility study must include comprehensive financial modeling to project the captive's performance and viability. This modeling should build upon the cost structures detailed in Section 6 and incorporate actuarially sound loss projections and realistic investment return assumptions. Industry data indicating lower expense ratios (average 9% for captives vs. 31% for traditional insurers[127]) and the retention of underwriting profit should inform the potential savings calculations within the model. Illustrative examples, like modeling the impact of retaining a significant cyber layer, can help quantify the potential financial upside compared to current commercial insurance costs, factoring in expected captive losses, operating expenses, and reinsurance costs for excess layers. Potential investment income on captive reserves, while dependent on strategy and market conditions, represents an additional financial benefit to be modeled (industry benchmarks suggest average returns around 2.1% pre-tax[128]).

Beyond these direct financial metrics, the feasibility study must rigorously assess and, where possible, quantify the qualitative benefits crucial to the business case:

- **Tailored Coverage Scope:** Ability to precisely define policy terms, conditions, and exclusions to match CIBC's specific operational realities (e.g., unique cyber threats related to digital banking, specific regulatory change impacts) where standard market forms may be inadequate or ambiguous.[129]

- **Enhanced Risk Management Discipline:** Formalizing risk retention through a captive structure inherently increases visibility of loss drivers and creates direct financial incentives within CIBC to invest in loss prevention and mitigation efforts, thereby improving the overall risk management culture.

- **Claims Management Control:** Direct oversight and control over the claims handling process, allowing CIBC to manage claims efficiently, consistently, and in alignment with its corporate values and customer relationships, rather than relying on third-party insurers' processes.[130]

- **Long-Term Cost Stability:** Greater insulation from the volatility of commercial insurance market pricing cycles, particularly for the primary layers of risk retained within the captive, leading to more predictable long-term risk financing costs.[131]

[125] KPMG, 2021.
[126] RBC Royal Bank, 2024; Scotiabank Cayman Islands, 2024; Zurich North America, 2024.
[127] Milliman, 2023.
[128] Milliman, 2023.
[129] Aon, 2024.
[130] KPMG, 2021.
[131] Milliman, 2023; RBC Royal Bank, 2024.

10.4 Regulatory Considerations Summary

The feasibility study must culminate in a clear understanding and documented strategy for navigating the dual regulatory environments. Key compliance checkpoints include:

- **CIMA Compliance Verification:** Confirming the proposed structure meets all Class B(i) requirements including corporate governance standards, financial reporting protocols (likely IFRS given CIBC parentage), local presence (utilizing a registered office and likely a licensed insurance manager), and satisfying economic substance regulations.[132]
- **OSFI Engagement Strategy:** Outlining the necessary approval process with OSFI, clearly articulating the business rationale, demonstrating no adverse impact on CIBC's consolidated capital position (considering the CET1 deduction and potential RWA benefits), and planning for compliance with related-party transaction limits and collateral requirements for any reinsurance ceded back to Canadian entities under Guideline B-3.
- **Canadian Tax Compliance Strategy:** Ensuring the captive structure and premium mechanisms are designed to withstand scrutiny under Canada's FAPI rules, demonstrating genuine risk transfer at arm's length premium rates, and establishing a clear non-tax business purpose.[133]

10.5 Feasibility Study Recommendations

Upon completion, the feasibility study itself should provide CIBC leadership with actionable recommendations, likely focusing on:

1. **Engaging Specialized Experts:** Formally retain a leading captive management firm (e.g., Marsh, Aon, SRS)[134] with demonstrable experience managing captives for large Canadian financial institutions in the Cayman Islands, alongside specialized legal and actuarial advisors.
2. **Conducting Deep-Dive Loss Analysis:** Utilize CIBC's detailed historical loss data (at least 5-7 years) to perform rigorous actuarial analysis, quantifying expected frequency, severity, and potential maximum losses for the specifically prioritized risk layers (e.g., \$0-\$10M cyber layer, property deductibles over \$1M, primary E&O layer).
3. **Developing Comprehensive Financial Modeling:** Construct dynamic financial projections (e.g., 5-10 year horizon) illustrating the captive's potential P&L, balance sheet, cash flow, required economic capital, and return on equity (ROE) under base case, optimistic, and pessimistic loss scenarios, explicitly comparing against the current insurance program's cost structure.[135] This modeling should incorporate the projected costs outlined in Section 6.
4. **Initiating Regulator Consultation:** Based on the robustness of the business case and structure, proactively engage OSFI and CIMA in formal consultations to present the proposed captive plan, discuss capital treatment expectations (including CET1 deduction and potential RWA mitigation paths), clarify any ambiguities, and build regulatory comfort early in the process.
5. **Defining a Phased Implementation Scope:** Recommend a specific, strategically sensible, and operationally manageable initial set of risks for the captive to underwrite in

[132] Cayman Islands Monetary Authority, 2024a; KPMG, 2021.
[133] Bunting et al., 2011; Dolson, 2022.
[134] Aon, 2024; Marsh, 2024.
[135] Captive International, 2024a.

Year 1 (e.g., focusing on one major line like the cyber primary layer or property deductible buy-downs first), based on where the analysis shows the clearest financial benefit and operational feasibility, with a roadmap for potential future expansion.

11 Conclusion

Establishing a captive insurance subsidiary in the Cayman Islands presents a strategically sound and potentially highly valuable opportunity for CIBC to enhance its operational risk management framework, optimize long-term risk financing costs, and gain significantly greater control and customization over its insurance program.[136] The demonstrable benefits of cost savings through retained underwriting profit and reduced expense loads,[137] coupled with the ability to secure tailored coverage for complex risks[138] and foster improved internal risk discipline, appear likely to outweigh the operational complexities and initial capital investment required. This holds true provided the implementation is meticulously planned and executed in full compliance with both Cayman (CIMA)[139] and Canadian (OSFI, Tax) regulations,[140] particularly concerning capital treatment (CET1 impact) and ensuring genuine risk transfer.

The Cayman Islands offers a proven, efficient, and internationally respected domicile with deep expertise in financial institution captives.[141] Furthermore, adopting the captive model aligns CIBC with established best practices observed among its global financial institution peers.[142] Crucially, while this paper focuses on the captive model, CIBC recognizes the importance of a comprehensive risk management strategy and will also evaluate other alternative risk solutions, such as catastrophe (CAT) bonds. A thorough feasibility analysis will be conducted across all proposed alternatives to identify which solution represents the most optimal approach to implement first, ensuring decisions align with broader strategic goals. By commissioning and rigorously acting upon the detailed feasibility study recommended herein, CIBC's leadership can make a well-informed, data-driven decision and potentially unlock significant, sustainable long-term value through this innovative and sophisticated risk management solution, while carefully managing the associated regulatory capital implications.

[136] KPMG, 2021; Milliman, 2023.
[137] Milliman, 2023.
[138] Aon, 2024; RBC Royal Bank, 2024.
[139] Cayman Islands Monetary Authority, 2024a.
[140] Dolson, 2022.
[141] Cayman Islands Monetary Authority, 2024b; PwC, 2024.
[142] RBC Royal Bank, 2024; Scotiabank Cayman Islands, 2024; Zurich North America, 2024.

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